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India's Data Centre Market in a New Era

A 2025 YTD Market Update

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India's digital transformation has reached a pivotal stage. CBRE India Research's latest report highlights how the country's Data Centre (DC) capacity has now **surpassed ~1.5 GW,** cementing its position among Asia Pacific's rapidly expanding DC markets.

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The sector's momentum is being fuelled by *widespread digitisation, cloud adoption, and the exponential rise of AI-driven workloads*. With activity intensifying across established and emerging hubs, India is steadily evolving into a preferred destination for global operators and investors.

A market scaling with confidence

India's operational DC stock reached **~1,530 MW (translating to 23 million sq. ft.)**, as of 9M (January-September) 2025, with **260 MW of new supply** added during the year.

Nearly **90% of existing capacity** remains anchored in **Mumbai, Chennai, Delhi-NCR, and Bengaluru,** powered by multiple undersea cable landing stations, excellent fibre optics network, supportive government policies, and established financial ecosystems.

A new growth cycle, however, is also seen unfolding, driven by corporates and hyperscalers expanding into Tier-II cities.

Capital flows redefining the landscape

Between 2019 and 9M 2025, India secured nearly USD 94 billion in investment commitments from global and domestic players. Telangana, Maharashtra, Tamil Nadu, Uttar Pradesh, West Bengal, and Karnataka together accounted for about

players. Telangana, Maharashtra, Tamil Nadu, Uttar Pradesh, West Bengal, and Karnataka together accounted for about 45% of this capital.

The sustainability imperative

As AI and high-performance computing (HPC) accelerate data demand, operators are recalibrating design and energy strategies.

New DCs are integrating renewable energy, optimising heat reuse, and embedding advanced cooling systems to enhance efficiency and meet ESG objectives.

To further explore the intricacies of India's rapidly transforming DC landscape, please click on the download button.